الطالب الأكاديمي
THE ACADEMIC STUDENT

Faculty of Business Studies

ACC302
Auditing Theory & Practice

Final Examination
2025-2026 / Spring Semester
3 – June – 2026
Version B

Number of Exam Pages: 2 (including this cover sheet)	**Time Allowed: 2 hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except for graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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ANSWER ALL OF THE FOLLOWING FOUR QUESTIONS

Question 1 (25 Marks)

During the audit of ABC Ltd., the auditor collects invoices, contracts, bank statements, and inventory records to verify the company's financial statements.

Explain the different types of audit evidence that auditors use to support their opinion on the accuracy and fairness of financial statements.

Question 2 (25 Marks)

During the audit of XYZ Corporation, the auditor wants to determine the amount of evidence needed and plan procedures based on the likelihood of material misstatements in the financial statements.

Explain the Audit Risk Model and its key components that help the auditor assess risk and design the audit effectively.

Question 3 (25 Marks)

During the audit of GHI Corporation, the auditor notices signs that financial information may have been manipulated, funds misused, or other deceptive actions taken by employees or management. Describe the three elements of the "Fraud Triangle" that explain why individuals might commit fraud within an organization.

Question 4 (25 Marks)

Auditor's opinion is an essential element of the audit report and helps stakeholders assess the reliability of the financial data.

During the audit of ABC Corporation, the auditor reviews the company's financial statements and finds that they are accurate, comply with applicable accounting standards, and contain no material misstatements. The statements fairly present the company's financial position and performance.

a. Explain the various types of auditors' opinions. (20 marks)
b. Identify which type of opinion audit would be issued for ABC Corporation. (5 marks)

End of Questions

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